



“India’s domestic demand is going to be strong, and therefore, I think we will be close to our expected growth targets. I would not like to pick an exact number, but [it will be] in the range of 6 per cent”

T.V. SOMANATHAN
FINANCE SECRETARY



“Our estimate is 6.2-6.3 per cent for FY24. PMI is doing well. Manufacturing and services are gaining traction. The only issue is the contraction in exports”

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cut capital expenditure which would pull down growth to less than 6 per cent,” he warns.

Economists agree that the positives for the economy include low core inflation, sustained domestic demand as well as the focus on capital expenditure by the government and a recovery in private investments. However, negatives abound as well. While slowing demand for exports has already been a problem since the second half of last year, elevated food inflation as well as a weak monsoon in August are raising concerns about the increase in food prices and dampening rural demand. Sunil Sinha, Senior Director and Principal Economist at India Ratings and Research, sums it up. “Global crude and commodity prices have eased, which has proved to be a benefit for India, which is a net importer. However, Europe and the US—the two largest export markets for India—are still impacted by the war, which is problematic for our exports,” he says. What will determine the trajectory of the economy in the coming months? Let us find out.

THE EXPORTS CHALLENGE

According to the GDP data for Q1FY24, exports contracted by 7.74 per cent in April-June 2023 against an 11.9 per cent expansion in the previous quarter amidst weak growth in the US, Europe and China. Merchandise exports have been shrinking in recent months while growth in services exports has also slowed. Goods exports in July fell to a nine-month low of \$32.25 billion, a decline of nearly 16 per cent year-on-year (YoY).

While the government is hopeful that total exports would be higher than the \$776 billion in FY23, it may be difficult as global growth is slowing after a robust first quarter. The United Nations Conference on Trade and Development (UNCTAD) revised its nowcast (a data- and model-based projection of global trade) of merchandise trade volume downwards with world trade growth seen at 0.47 per cent in the third quarter of CY2023, as against 0.19 per cent in the second quarter.

Somanathan notes that there is a definite negative trend in growth in some of the developed economies. “The environment for exports is going to be difficult this fiscal year. Exports as an engine of growth this year probably will not be very strong,” he says.

However, Ajay Sahai, Director General and CEO of the Federation of Indian Export Organisations, believes that the worst is over for Indian exports as most developed economies have fared better than expected. “The contraction in exports will be arrested in August to some extent. We are keeping our fingers crossed on how quickly we will retain the markets. While there will be growth in exports in terms of volume, the growth in value terms may take time,” he says.

CAPITAL EXPENDITURE BOOST

Gross fixed capital formation, which is an indicator of investments, grew by 8 per cent YoY in Q1FY24. Though it was slightly lower than the 8.9 per cent growth seen in Q4FY23, economists note that it has maintained its share in the GDP at 29.3 per cent, which is a promising sign.

The government has prioritised capital expenditure since the last fiscal as a means to revive and sustain economic growth and has outlined an ambitious ₹10 lakh crore plan for FY24. By July-end, the Centre’s capex had risen to nearly a third of the target at ₹3.17 lakh crore, but this could possibly taper off ahead of the 2024 elections.

Somanathan says that sustained capital expenditure by the central government and to some extent by the states, as well as the overall improvement in sentiment in the private sector, is an advantage. “Government capex has picked up as intended in the Budget and